

PERIOD/MONTH END CLOSING PROCEDURE

The sequence of closing module is below:

1. Inventory – Once closed can't reopen
2. Accounts Payables – If it is AP oriented company AP is closed first
3. Purchasing – If it is PO oriented company PO is closed first
4. Accounts Receivable – Re-openable periods
5. Fixed Assets – Only closing of period
6. Cash Management – NO PERIOD CLOSING
7. General Ledger – Re-openable periods & this is the last closed period

Only client side key user's do period close. We only provide support.

Support: we have **Normal Support** ☐ **Proactive Support Period Closing Support 24x7.**

Ways of Closing Period: we have two ways of closing periods.

1. **Soft Close:** No issues during month/period & moving to next period.
2. **Hard Close:** We have issue and moving to next period. We can sweep issue to next period.

Note:

- Issues in period close are SEV1 issues
- In last week of period oracle provides
 - Health Check (Complete data as on day/month/period)
 - Diagnostics Run – In order to check health/issues in Production Instance.
- Run the script in production instance provided by oracle and submit report to client side key user.
- Inventory team will do period closure. Open stock, closing stock and run related programs.
- We need to prepare period closing process in a document each module wise to the client.
- Year starting we need to check whether calendar is there, period open.
- We can never override first ever open period.

AP PERIOD CLOSING PROCESS

Status:

- Never Opened
- Opened
- Future
- Closed
- Permanently Closed – This enables only when period is closed

Report to be run:

- Run “**Invoice Validation Program**” – To validate all open/outstanding invoices.
- Run “**Invoice on Hold Report**” – To identify all hold and discrepancies – Need to review output. We can have only count of invoices which are on hold.
- Run “**Unaccounted Transaction Report (XML)**” – Identify invoices to be accounted, review and to be fixed for invoices and payments, user will fix. We can suggest running this report daily, so that it will be easy at the period end.
- Re-Run invoice validation and hold report – There shouldn't be any pending data.
- Create Accounting program
- Run “**Transfer Journal Entries to General Ledger**” program.
- Re-Run the “**Unaccounted Transaction Report**”.
- Run “**Mass Additions create**” program – To transfer assets to FA.
- Mass Addition create report
- Run “**Payables Posted Payment Register**” – Optional, but we should suggest.
- Run “**Payables Posted Invoice Register**”
- *Run “**AP Trial Balance or Open Account Balances Listing Run**”.
- *Run “**Period Close Exceptions Report (XML)**” – if any exceptions run SR.
- *Run “**Sub-Ledger Period Close Exceptions Report**”.

Reconciliation Formula: AP to GL

Last Month TB outstanding + Present month Payable Post Invoice Register – Payables Posted Pay Register
= APTB outstanding >>> APTB o/s should be transferred to GL & posted ☐ Compare with GL TB ☐ of Liability Account.

Example: 10 Cr + 5 Cr – 7Cr = 8 Cr.

- Go to control payable periods and close a period if we get “exceptions error message” it is HARD CLOSE. Review period close exception report ☺Click on Exception ☺Review.
- Sweep: To transfer outstanding balances to next periods.
- If we sweep the transactions – GL data will be changed to next month date – Raise SR and get the fix based on Invoice ID & Payment ID.

Note: Follow Create Accounting ☐ Transfer to GL ☐ Run APTB report.

- Run APTB – Parameters: OU & Payables. If we want report daily select **GL** & do it.
 - Click on Output to review – code combination derived from **financial options**.
 - Switch to GL query with Un-posted – to check for un-posted journals.
- Before running GLTB we need to check all the JE to be posted. There should be no outstanding balances. Fill GLTB parameters – click on output & compare TB balances of AP to GL

AP TO GL RECONCILIATION PROCESS

Code Combination	APTB Amount	GLTB Amount
Liability Account – 21001	1855025	1855025
Liability Account – 21001	1855025	1023138.53

- If GLTB is less than APTB balance – check un-posted JE ☺Post all JE ☺Run TB.
 - If no outstanding JE request technical team to check if data is present in interface tables.
 - Journal ☺Import ☺Run (Source: Payables)
 - If above process doesn't work raise SR.?
- If GLTB is greater than APTB – check if AP has pending data.
 - Check un-posted JE in GL
 - Run “Account Analysis Report” we can know impact. Parameters: Type: Source Item; Order By: Source Item ☺Run
 - Reason could be manually entered JE
 - Click on output – note the other sub-ledger entries amount.

Note:

- To restrict manual journal entry we use “Third Party Control” account as ‘YES’ for liability account.
- AP team will inform to PO team about period closure. As we have expense item at purchasing option level we will close AP first.

PURCHASING PERIOD CLOSING PROCESS

Reports to Run:

- Un-invoiced receipts report – To know unaccounted PO & Receipts
- Create accounting receiving program
- Transfer to GL – To generate JE in GL
- Accrual Reconciliation Load Run – AP to PO
- Miscellaneous Accrual Reconciliation Run Report
- Summary Accrual Reconciliation Run Report
- Run Period End Accrual Program

PO Reconciliation process:

Example: PO expense account 200 Period End 200 PO's with expense items

Number of PO's	GRN	Invoice	Accrual Entries
50	X	X	X
70	✓	X	Expense Dr TO Expense Accrual Account
10	Cancelled	X	X
70	✓	✓	X

System will create unbilled PO, Invoice apart from this it will create accounting entries for that PO's.

Switch to GL:

- Run GLTB for Expense AP Accrual Account.
- Reverse accrued JE in next month first date.
- If we don't get receipts by year end we should use "Expense AP Accrual Write Off" account.
- **Source to GL:** Cot Management; Category: Accrual

AR PERIOD CLOSING PROCESS

- Complete Auto Invoice Process in month end
- Run Transaction Register
- Un-posted Item report
- Run Create Accounting Program
- Run Transfer to GL
- Run Invoice Exception Report – To identify the issues
- Run Un-Applied Receipt Report
- Run Un-Applied Invoice Report
- Run Adjustment Report
- Run Aging Report
- Run Revenue Recognition Program
- Run sub-ledger exception report
- AR to GL Reconciliation Report

AR Reconciliation Formula:

Transaction Register for the Period

- (-) Applied Receipts Register for the period
- (-) Un-Applied Receipts Register for the period
- (+) Adjustments Register for the period
- (-) Invoice Exceptions for the period
- (+) Rounding Differences for the Period
- (+) CM gain/loss for the period

Sub-ledger Exception Report ☐ Closed (Soft Close) ☐ Open Next Month

Oracle has provided patch to apply sweep functionality in AR from 12.2.1 version

AR to GL Reconciliation:

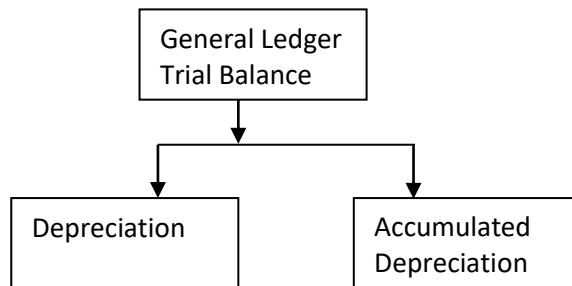
Aging Bucket Report (for Receivable Account)/AR to GL Reconciliation ☐ Match with GL TB report balances.

FA PERIOD CLOSING PROCESS

- Switch to FA: Depreciation Run Projections
- There should not be any un-posted mass additions, post mass additions, retirements, cost adjustments.
- Run Create Accounting
- Transfer to GL
- Run Draft Mode depreciation (5 programs will run in backend – JE Reserve Ledger is *)
- Run Final Report of FA
- Switch to GL Run & Post JE

FA to GL Reconciliation:

- Run JE Reserve Ledger



- We can transfer 15 categories from FA to GL

CM PERIOD CLOSING PROCESS

NO PERIOD CLOSING PROCESS FOR CASH MANAGEMENT

CM-GL Reconciliation:

- Do manual clearing/Reconciliation
- Do BRS Clearing/Reconciliation
- Run Create Accounting & Transfer to GL
- General Ledger Reconciliation Report
- Account Analysis Report for Cash Account

GL PERIOD CLOSING PROCESS

- Enter any manual adjustment entry for corrections.
- Generate accrued JE through recurring/manual JE
- Import the third party journals and post Ex: Web ADI
- Import any pending source journals – from other sub-ledgers
- Post the journal entries: Manual, Batch, Auto post
- Run GLTB compare to sub-ledger accounts
 - Ex: Liability, prepayment, receivable, depreciation, accumulated depreciation, cash, cash clearing, inventory AP Accrual, expense AP accrual, COGS
- Run Account Analysis Report & Compare balances, discrepancies
- Run GL Ledger 130 & 180 Report
- Run Revaluation, Translation

Note:

- After revaluation & translation next month 1st date – reverse revaluation and translation journals
- If it is year-end change year name.